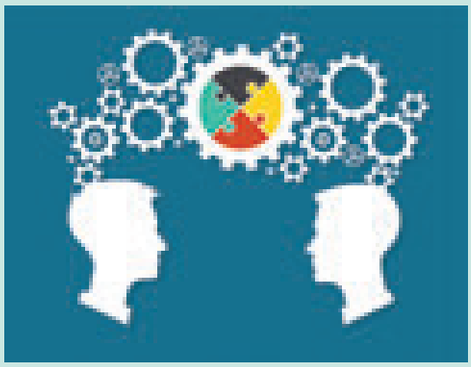
STUDENTS ACTIVITY



1. Visit the Auditor's office. Discuss and verify a plant register maintained in a company.
2. Ascertain various fixed assets of your educational institution and classify them. Prepare a chart.
3. Prepare a chart of tangible assets and intangible assets of an industry and discuss various documents to be verified for valuation.
4. Arrange for a guest lecture of a bank manager and discuss operation of mutual funds

Why is goodwill not a fictitious asset?



SUMMARY

The proper verification and accurate valuation of these assets is a paramount importance to show true and fair view of the financial position of the business concern. If there is incorrect valuation of fixed assets, it affects the company's life. The profits by improper valuation of fixed assets would falsify and distort the financial statements and affects the true financial position of the firm, by which the primary objective of auditing is "expression of independent opinion by the auditor on correctness and reliability of financial statements" cannot be achieved. Therefore, the auditor should take maximum care regarding verification and valuation of fixed assets.

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